CORPORATE LAWS & PRACTICES

Nov-Dec 2022

Time allowed- 3:30 hours
Total marks- 100

[N.B. - The figures in the margin indicate full marks. Questions must be answered in English. Examiner will take account of the quality of language and of the manner in which the answers are presented. Different parts, if any, of the same question must be answered in one place in order of sequence.]

Marks

1. a) Mr. X and Mrs. Y along with six other persons intend to form a limited company in order to engage exclusively in charitable activities. Mrs. Y says that the name of the company could be "XY Charitable Company Limited". Whereas Mr. X says that there is no need to use the word "Limited" as the last word of the name of the Company. But Mrs. Y insists that since it is going to be a limited company, it must use the word "Limited" at the end of its name.

Requirement:

Advise with reference to the Companies Act 1994. 3

b) SRT Ltd. is a newly formed subsidiary of PQR Ltd where 5 nos. of common directors are the directors of SRT Ltd. PQR Ltd. pays Taka 8,000/- as board meeting attendance fees to each of the directors attending a Board meeting, whereas SRT Ltd. has wrongly excluded such provisions of payment of Directors' remuneration in its Articles of Association. In the first Board of Directors meeting of SRT Ltd., Chairman told the Company Secretary to arrange and pay the Directors fees to maintain the same practices of PQR group. The Company Secretary is not sure as to what to do.

Requirement:

Advise the Company Secretary with reference to the Companies Act 1994/ Regulations. 3

c) Leadership Development PLC ("LDP") is a public limited company listed with both the Exchanges in Bangladesh. Mr. X is a director of this company holding 10% shares of LDP. To become the single largest shareholder, Mr. X is contemplating to purchase another 5% of shares of LDP and therefore approached to his bank for a loan for which bank advised him to obtain a loan guarantee from LDP. Accordingly, Mr. X approached to LDP for a loan guarantee.

Generating Demand Ltd ("GDL") is a subsidiary of Leadership Development PLC. Recently GDL approached to ABC Bank Ltd for a working capital loan facility for an amount of BDT 900 million for a tenure of 5 years for which bank asked for a corporate guarantee. Being the Company Secretary of LDP, you are requested to prepare a board resolution to provide corporate guarantee for and on behalf of the subsidiary company GDL, who is seeking working capital loan from its bank.

Requirements:

i) Advise Leadership Development PLC based on the provisions of the Companies Act 1994. Will your advice be different if Leadership Development PLC is a private limited company? 4

ii) Prepare a board resolution with appropriate declaration thereof to provide corporate guarantee for and on behalf of the subsidiary company Generating Demand Ltd upon securing the interest of Leadership Development PLC. 6

d) Aspiration PLC is a 100% own subsidiary of Moonlight PLC, which has been newly incorporated under the Companies Act 1994. The first Annual General Meeting of Aspiration PLC was supposed to be held on 30th September 2022. However, without assigning any reason Aspiration PLC held its first Annual General Meeting on 1st October 2022, a day after the statutory period.

Moonlight PLC is a well-established company, has been operating in Bangladesh for more than 10 years. Moonlight PLC could not hold its 12th Annual General Meeting on the due time as the Balance Sheet and Profit & Loss Account were not ready to be laid in the meeting. Accordingly, upon application by the Company to the RJSC, the Registrar extended the time for another 90 days. However, by the time the Balance Sheet and Profit & Loss Account were ready, this 90 days' extended time also passed.

Requirements:

Upon citing the relevant provisions of Companies Act 1994:

i) Mention the fate of the meeting held by Aspiration PLC 3

ii) Any remedy for Moonlight PLC 3

2. a) SRN PLC has been incorporated in 2010 as public limited company. It has started its commercial operation from 2011. The company has been running well and has become profitable in 2015. The company got listed with the two Stock Exchanges of Bangladesh in 2018. The dividend trend of the company is as follows:

Year	Stock (%)	Cash (%)
2015	-	5%
2016	-	5%
2017	-	5%
2018	-	5%
2019	5%	-
2020	5%	-

The financials of the company of the year 2021 has been finalized. Considering the cash flow of the company and ongoing expansion, the Board is thinking of declaring 5% stock dividend in 2021.

Requirements:

i) As you are the Company Secretary of the company, advise the Board on the declaration of dividend for 2021. 3

ii) What are the circumstances for which prior permission from the Commission is required for declaring stock dividend? 3

iii) What is the process of obtaining such permission from the Commission and what further compliance is required? 5

b) ABC Finance PLC was incorporated in 2000 with authorized capital of BDT 1,500 crore, and has been listed with the two Stock Exchanges of Bangladesh since 2010. As on 31 December 2021 the paid-up capital of the company is BDT 500 crore divided into 50 crore shares of BDT 10 each. The audit of the financials for the year ended 31 December 2021 has been completed on 15 February 2022. There is an increasing profit trend over the years and the financials have been prepared in compliance with International Financial Reporting Standards (IFRS) and the auditor has given an unmodified opinion on the financials.

To meet the working capital need the company is planning to raise its capital by issuing right shares, 25 crore Ordinary Shares of BDT 10 each issuing at BDT 20 each, including a premium of BDT 10 per share, amounting to BDT 500 crore offered on the basis of 1R:2 (i.e. one rights share against two existing shares held on the record date).

Accordingly, the company is planning to hold the Board meeting on 10 March 2022.

Requirements:

As the Company Secretary of ABC Finance PLC, management has advised you to do the following in line with the Securities and Exchange Commission (Right Issue) Rules, 2006[SEC(RI)R,2006]:

i) What are the preconditions of applying for the right offer? 3

ii) What are the criteria for pricing of the right shares? Is it compliant? 4

iii) What will be the process of public announcement for such right shares with regard to Record Date and offer documents forwarded to shareholders and regulators? 5

3. a) Planet PLC qualifies as a Public Interest Entity (PIE) as per the definition of Financial Reporting Act 2015. You have been appointed as the CFO of Planet PLC and upon examining the financial statements of the company, among others you have noticed the following:

i) There are substantial amount of money lying in the Balance Sheet as share money deposit, which was collected more than a year ago and have not been converted into share capital yet.

ii) The Company's EPS is computed and disclosed based on paid-up share capital.

Requirement:

In view of the above, highlight the potential issues based on the guidelines, if any, issued under Financial Reporting Act 2015. 5

b) Describe the responsibilities of Auditor in relation to Auditor's report and opinion under Financial Reporting Act 2015 5

4. a) XYZ Finance PLC is a listed financial institution operating under Financial Institutions Act, 1993 in Bangladesh. The institution is listed with both Dhaka and Chittagong Stock Exchanges.
Most of the shares of the company are free float. Following is the shareholding structure of the company as on 30 September 2022:

Sl. No.	Shareholder	% of share held	No. of director nominated	Remarks
1	ABC Bank PLC	10%	3	One of the directors is the Chairman of the financial institution since 01 October 2012.
2	ABC Securities Ltd (subsidiary of ABC Bank)	9%	-	
3	*ABC Investments Ltd (subsidiary of ABC Bank)*	*6%*	-	
	Sub-total of ABC group	*25%*		
4	PQR Group (3 associated companies)	20%	2	One of director is nominated by one associate and other by the group
5	2 individual institutions Holding 5% share each	10%	2	By each institution. One of the directors is the son of the entrepreneur who has just completed his graduations (has no business experience).
6	Mr. Rahman Sarker	1.5%	1	He is politically exposed person and has control over the institution.
7	2 Independent Directors	1.5%	2	One of them holds 1.5% shares of the company before his appointment
	Sub-total	*33%*	*10*	
8	*General public and institutions*	*42%*		
	Total	**100%**	**11**	Total no. of Board members is 11, including the Managing Director.

Bangladesh Securities and Exchange Commission (BSEC) has some directives on the holding of shares by the prompters and/or directors in the listed company. Moreover, in order to bring more transparency in the financial market, Bangladesh Bank has recently has issued some directives on the holding of shares by the directors and their appointment.

Since, XYZ Finance PLC is a listed financial institution, the Board has advised you to review the status of compliance with the relevant regulations in this regard.

Requirements:

i) What are the regulations of BSEC regarding the holding of shares by the directors and their appointment? Is there any non-compliance? 5

ii) What are the regulations of Bangladesh Bank regarding the holding of shares by the directors and their appointment? Is there any non-compliance? 4

iii) How do you advise to address the non-compliance, if any? 3

b) Small Village Enterprise ("SVE") is a SME has been operating in Agro farming sector in the rural areas of Bangladesh. For running its day to day operation, SVE obtained a SME loan categorized under Cottage, Micro & Small loan from a local bank of Dhaka namely, X Bank Ltd. Recently, due to the ongoing financial crisis, X Bank Ltd. increased the interest rate by 1%. Considering this as a financial hit, SVE consulted with another bank, who are ready to take-over the loan at an interest rate even 1% lower than the rate that SVE was availing prior to the increase in interest rate. Considering this, SVE approached to X Bank Ltd for initiating take-over of the loan by the new bank. In reply, X Bank Ltd. informed in that case a 2% early settlement penalty would be applicable on the loan balance as per the loan agreement. Upon evaluation, you realized it will not make sense for moving to the new bank if an early settlement penalty of 2% is to be paid.

Requirement:

Considering this, advise SVE on remedy, if any, quoting the relevant provisions of laws or circular issued by Bangladesh Bank. 4

5. Bangladesh Bank has issued Guidelines for Non-Banking Assets vide BRPD Circular No: 22 dated: 20th September 2021 stating how an asset against mortgage/ security towards default loans/advances to be treated as the assets of a bank.

Requirements:

Pursuant to the guidelines, you are required to state the procedures to be followed in the case of:

a) Valuation of Non-Banking Assets for showing in Bank's assets. 3

b) Sale of a Non-Banking Asset when Assets value is higher than the book value . 3

c) Use of a particular Non-Banking Assets for bank's own operational use. 3

6. In view of the ongoing financial crisis caused by global issues, some Life Insurance companies in Bangladesh have come up with an idea to bail out its sister concern by enabling them to avail bank loan upon providing guaranty on behalf of their sister concern by keeping their life fund fixed deposit as lien. Universe Life Insurance Ltd, a reputed life insurance company, has been successfully operating in Bangladesh for more than 15 years. However, its sister concern Green Marine Insurance Ltd has been struggling due to stiff fall in topline, which caused a severe fund crisis, and no bank is willing to provide any loan unless a credible security is provided. Citing the examples in the market, one of the directors of Universe Life Insurance Ltd proposed to provide guarantee on behalf of its sister concern, Green Marine Insurance Ltd upon keeping their life fund fixed deposit as lien so that Green Marine Insurance Ltd can get out from this crisis.

Requirement:

Advise Universe Life Insurance Ltd whether they can go ahead for providing this guarantee on behalf of its sister concern, Green Marine Insurance Ltd upon keeping their life fund fixed deposit as lien based on the provisions of the Insurance Act 2010 and the latest circular issued by Insurance Development Regulatory Authority of Bangladesh, highlighting risks if any 5

7. a) Mr. M is a worker employed in one of the big manufacturing concerns engaged in Cement sector. For the year 2021, Mr. M had an annual leave of 26 days, out of which he availed only 6 days. In the end of December 2021, Mr. M wanted to encash his unspent annual leave as per the provisions of the Bangladesh Labour Act 2006. For the month of November 2021, Mr. M's wages details were as follows:

Particulars	Amount (Tk.)
Basic wages	15,000
House rent	7,500
Medical allowances	5,000
Conveyance	2,500
Overtime	2,000
Festival bonus	15,000
Performance bonus	5,000
Total	52,000

Requirements:

i) Describing the provisions of Bangladesh Labour Act 2006 and Rules thereof, advise Mr. M the maximum number of days he can encash from his unspent leave. 4

ii) Calculate the maximum amount that Mr. M is eligible to get as leave encashment from his unspent leave considering the wages details mentioned above. 4

iii) What would be the amount of leave encashment, if Mr. M availed 16 days in 2021 from his annual leave? 2

b) Mrs. Sultana joined ABC Garment Limited on 1 June 2021 on a monthly salary basis. At the time of joining, she was married with 2 children. A road accident took place on 5 August 2021 and she lost her 2nd baby. At that time, she was pregnant and her expected date of delivery was 5 January 2022. She verbally informed her reporting boss regarding her pregnancy.

Accordingly, the baby took birth on 10 January 2022. The HR has granted her maternity leave and has denied to grant her maternity benefits.

Requirement:

Will Mrs. Sultana be entitled to the maternity benefit? If so, to what extent? 5

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